WAVERLEY GATEWAY GUIDE

Connecting International Capital

MALTA

Europe

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Valletta, Floriana and the Grand Harbour	Capital and seat of government, the Central Bank of Malta and the financial regulator, with port and cruise facilities	Financial services, government, maritime, tourism
Sliema, St Julian's and Ta' Xbiex	Main commercial district and home to many gaming, fintech and professional-services firms	Online gaming, fintech, professional services, hospitality
Malta Freeport (Birżebbuġa)	Mediterranean container transshipment hub on routes between Europe, North Africa and Asia	Transshipment, logistics, maritime services
Luqa – Malta International Airport and aviation cluster	Base for aircraft maintenance, aviation services and Malta's aircraft-registry and leasing sector	Aircraft maintenance, aviation leasing, logistics
Industrial estates (Hal Far, Bulebel and others)	Sites managed for manufacturing investors, including pharmaceuticals and precision engineering	Pharmaceuticals, medical technology, electronics, food
Gozo	Sister island with a hospital master plan and growing remote-work, tourism and services activity	Tourism, digital services, healthcare

INVESTOR ENTRY ROUTES

- Malta Enterprise, the national economic development agency, offers investment aid, tax credits and support for digitalisation, automation and higher-value investment
- A full imputation tax system: a 35% headline corporate rate with shareholder refunds that can reduce the effective rate on trading profits to about 5%
- An optional 15% final-tax regime (FITWI) for groups preferring a single rate, and a new 25% rate on retained profits for companies with turnover up to €1 million from Budget 2027
- Malta Financial Services Authority licensing for funds, insurers, payment and crypto-asset firms, with EU passporting
- Euro-area membership: the euro is the national currency, with free movement of capital under EU rules
- EU single-market and Schengen membership, with English an official language and a common-law-influenced commercial system
- Sector regimes for online gaming, aircraft registration and leasing, shipping and family offices

MARKET-ENTRY OBSERVATION

Malta in November 2026 is one of the euro area's fastest-growing economies, offering an English-speaking EU base with a flexible tax system and strong services sectors. GDP grew 4.7% in 2025 and 4.5% year-on-year in the second quarter of 2026, led by domestic demand and services, and the government forecasts 4.1% growth in 2026. Unemployment is expected at about 3.3%, among the lowest in the EU, and inflation was 2.4% in September 2026, helped by stable regulated energy prices. Public finances are improving: the deficit fell to 2.1% of GDP in 2025 from 4.9% in 2023, and debt is forecast at 46.7% of GDP in 2026, well below the EU's 60% benchmark. The Labour Party won a fourth consecutive term in the snap election of 30 May 2026 with 51.8% of the vote, giving Prime Minister Robert Abela a fresh mandate and policy continuity.

Malta's main structural challenge is moving from growth based on population, construction and imported labour towards higher productivity, while adapting its tax and residence offer to new EU and global rules. The population has risen about 25% in a decade, adding pressure on infrastructure. Malta has deferred the Pillar Two minimum-tax rules until the end of 2029 and introduced an optional 15% regime, and the EU Court of Justice ended its citizenship-by-investment programme in April 2025. The government is responding with a focus on technology-driven, higher-value activity: Budget 2027 prioritises fintech, crypto-asset firms, family offices and aircraft leasing, alongside a second electricity interconnector with Sicily and a planned 300MW offshore wind farm. A major medical-technology investment, described by the economy minister as Malta's largest, signals growing interest in advanced manufacturing.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Changing international tax rules	Pillar Two deferral ends after 2029, and the refund system may be adjusted as rules evolve	Malta has introduced an optional 15% regime and is developing new tax credits; model several scenarios with advisers
Infrastructure and land constraints	Rapid population growth strains roads, housing and utilities on a small territory	Budget 2027 funds energy, port and health projects; consider Gozo and established industrial estates
Labour availability	With unemployment near 3.3%, specialist staff are scarce and many workers are recruited from abroad	Plan early for work permits and training; Malta Enterprise schemes support skills and automation
Reputation and regulatory scrutiny	Past governance concerns and the 2025 EU court ruling on golden passports have drawn EU attention	Robust MFSA supervision and strong compliance standards protect investors; use reputable local advisers
Public finances	The deficit is forecast at 2.6% of GDP in 2026 and 2027, partly reflecting energy subsidies	The deficit stays below 3% and debt below 60% of GDP, giving a stable fiscal framework
Energy security on an island grid	Malta relies on gas generation and a single interconnector with Sicily	A second interconnector and planned offshore wind will add capacity and create investment opportunities

INVESTOR RISK NOTE

Malta's risk profile is that of a stable, fast-growing EU and euro-area member with full employment, falling deficits and debt below the EU benchmark. The May 2026 election returned the Labour government with a clear majority, providing continuity in economic policy. The main considerations are structural: the international tax environment, including Pillar Two rules that Malta has deferred to the end of 2029, pressure on infrastructure from rapid population growth, and continued EU scrutiny after the 2025 court ruling that ended the citizenship-by-investment programme. These are being addressed through an optional 15% tax regime, investment in energy and transport, and strong regulatory supervision. Inflation of 2.4% and an ECB deposit rate of 2.50% are moderate. There are no sanctions or legal restrictions specific to Malta beyond those applying across the EU, which gaming, financial and shipping firms must apply rigorously.

MARKET ACCESS

As an EU member, Malta gives investors tariff-free access to the EU single market and to all the EU's free trade agreements, with WTO membership and the EU's common trade policy governing trade with third countries.

Financial and gaming licences issued in Malta can be used to serve customers across the EU, and English as an official language makes Malta a natural base for UK, US and Commonwealth companies entering Europe. Its position in the central Mediterranean, between Sicily and North Africa, supports the Malta Freeport's transshipment role and close links with Italy, North Africa and the Middle East. Malta is also a member of the Commonwealth and operates a major international ship registry, underpinning its maritime services sector.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Prime Minister (Prime Minister Robert Abela)	Leads the Labour government re-elected in May 2026 and sets economic priorities	Primary reference point for strategic investment
Malta Enterprise	National economic development agency; manages investment aid, tax credits and industrial sites	Standard first point of contact for market entry
Central Bank of Malta	Member of the Eurosystem whose governor sits on the ECB Governing Council; publishes economic forecasts	Relevant for banking and macroeconomic matters
Malta Financial Services Authority (MFSA)	Licenses and supervises banks, funds, insurers, payment and crypto-asset firms	Key counterpart for financial-services authorisation
Ministry for Finance and Employment (Minister Clyde Caruana)	Leads tax policy and presented Budget 2027 on 26 October 2026	Counterpart on tax and fiscal matters
Ministry responsible for the Economy and Enterprise	Oversees enterprise, industry and major foreign investments	Relevant for large manufacturing and technology projects
Malta Gaming Authority	Licenses and regulates online and land-based gaming	Key regulator for gaming investors

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Malta Chamber of Commerce, Enterprise and Industry, the Malta Business Bureau and the Malta Employers' Association are the main business networks, with regular input into budgets and regulation. FinanceMalta promotes the financial centre internationally, while Malta Enterprise runs investor programmes and trade missions. Bilateral chambers, including the British Chamber of Commerce for Malta and the American Chamber of Commerce in Malta, support international firms. The European Investment Bank finances infrastructure and energy projects, and EU funds co-finance investment in transport, health and digital services. Embassies of major partners provide further introductions.

INVESTOR PROFILE BEST SUITED

Malta suits investors seeking an English-speaking, fast-growing base inside the EU and the euro area: online gaming, fintech, payments and crypto-asset businesses using Malta licences to serve the EU; fund managers, insurers and family offices; aviation and maritime companies using Malta's aircraft and ship registries and Freeport; pharmaceutical, medical-technology and precision manufacturers on industrial estates; and energy investors targeting the second interconnector, batteries and offshore wind. All investors should model the tax position under evolving international rules.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Malta Enterprise early
Discuss investment aid, tax credits, site options and support for automation and higher-value activity.

STEP 2: Model the tax position
Compare the refund system, the optional 15% regime and Pillar Two exposure at group level with specialist advisers.

STEP 3: Plan regulatory licensing
Map MFSA or Malta Gaming Authority licensing, substance requirements and EU passporting before launch.

STEP 4: Secure talent and premises
Plan recruitment, work permits and housing for staff given low unemployment and limited space.

STEP 5: Track energy and infrastructure projects
Follow the second Sicily interconnector, offshore wind and port projects in Budget 2027 for supply and investment openings.